THE TRUSTEES FOR THE TIME BEING OF MHUTE LEGACIES FAMILY TRUST
versus
TWAIROB INVESTMENTS (PRIVATE) LIMITED
and
THE REGISTRAR OF DEEDS HARARE N.O

HIGH COURT OF ZIMBABWE
DEMBURE J
HARARE: 15, 17 & 23 June 2026

Opposed Application

R T Mutero, for the applicant
F Mahere, for the 1st respondent
No appearance for the 2nd respondent

DEMBURE J:

[1] Before this court is a court application to compel transfer. The applicant seeks an order for specific performance against the first respondent compelling the transfer of a certain piece of land situate in the District of Salisbury called stand 49 Gurlyn Barton Township of Gurlyn Barton A measuring 6 921 square metres held under Deed of Transfer number 3647/2012 (*"the property"*) into its name, the eviction of first respondent from the property and costs of suit on a legal practitioner and client scale. The application is strenuously opposed by the first respondent.

[2] On 15 June 2026, submissions were made on the two points *in limine* raised by the first respondent, namely that the application is fatally defective on account of an invalid board resolution and that there were material disputes of fact incapable of resolution on the papers without *viva voce* evidence. I dismissed the preliminary points and gave my reasons, which are part of the record. The hearing proceeded on the merits on 17 June 2026, whereupon the court reserved judgment after hearing from the parties.

FACTUAL CONSPECTUS

[3] It is common cause that the first respondent is the registered owner of a certain piece of land situate in the District of Salisbury called stand 49 Gurlyn Barton Township of

Gurlyn Barton A measuring 6 921 square metres held under Deed of Transfer number 3647/2012 (*"the property"*). The dispute revolves around the written agreement of sale of the property signed on behalf of the applicant and the first respondent on 17 November 2025. The deponent to the founding affidavit, Onismo Lastmark Mhute (*"Mr Mhute"*), a trustee of the applicant, signed the agreement on behalf of the applicant. Bernard Mahara Mutunga (*"Mr Mutunga"*), a director of the first respondent and the deponent to the opposing affidavit, also signed the agreement on behalf of the first respondent.

[4] The applicant's case is that, in terms of the agreement of sale, it purchased the property from the first respondent. It alleged that the material terms of the contract were that the purchase price was the sum of US$190 000, that the purchase price was to be paid in full on the date of signing the agreement and it was acknowledged to have been paid by the seller, the applicant would be given vacant possession of the property on the date of the agreement and transfer of the property would be effected by Madanhe & Chigudugudze Legal Practitioners (*"the conveyancers"*) from the date of the agreement. It was further pleaded that following the execution of the agreement and the payment of the full purchase price, the appointed conveyancers prepared the necessary transfer papers.

[5] There is no dispute that Mr Mutunga signed the declaration by the seller and the special power of attorney to pass transfer of the property into the applicant's name. The special power of attorney authorised the conveyancers in particular, Blessing Carrington Madanhe, Nyasha Karimatsenga or Cephas Tatira to pass transfer of the property into the applicant's name. Mr Mhute, on the other hand, signed the declaration by the purchaser. The transfer process proceeded to the stage of the application for a Capital Gains Tax (*"CGT"*) Clearance Certificate with the Zimbabwe Revenue Authority (*"ZIMRA"*). The initial registration of the transaction at ZIMRA was done. It is at that stage that the applicant alleges that the first respondent, despite demand, refused to proceed with the transfer by failing to send its representative to attend the ZIMRA interviews for the CGT assessment.

[6] The applicant asserted that the agreement of sale is valid and still extant. It also pleaded that it had fully performed its contractual obligations and that the first respondent had

refused to effect the transfer. It, therefore, prays for an order compelling the transfer of the property and for the ejectment of the first respondent from the property.

[7] The first respondent raised some points *in limine* at the hearing, but they were unsuccessful. On the merits, it averred that the alleged agreement of sale is simulated and illegal. It contended that the agreement was entered into to secure the applicant's interests against a US$100 000 loan, based on a verbal agreement. The money was to be repaid in three-month instalments at an interest rate of 30% per month, and the alleged purchase price was that capital sum, inclusive of interest. Accordingly, the first respondent disputed that it had any obligation to pass transfer of the property.

[8] It was further contended that the property could not have been sold for less than half its market value. A valuation report was attached, estimating the market value to be US$450 000. It was averred that this low price and the applicant's assumed responsibility for paying CGT show that the agreement of sale was a disguised contract. The first respondent further pleaded that it had communicated the cancellation of the illegal contract and tendered the repayment of the loan amount. It was also alleged that the order sought for the transfer of the property would be seeking to enforce an illegal contract.

[9] The applicant challenged the averments in the answering affidavit that the contract is simulated. It was its position that there was no evidence to show that the agreement is simulated or illegal. The applicant specifically controverted the averments in the opposing affidavit regarding the alleged simulation and maintained that the sale is valid and extant and must be enforced.

The parties' legal counsel made the following oral submissions on the merits.

ORAL SUBMISSIONS

SUBMISSIONS FOR THE APPLICANT

[10] Mr *Mutero* made the following submissions. The application before the court is for specific performance. The agreement is extant and must be enforced. This court cannot absolve a party from liability freely assumed. See *Magodora & Ors* v *CARE International Zimbabwe* SC 24/14. The respondent simply says the agreement is a simulation. It did not file a counter-application. The *onus* is on the first respondent to establish its defence. No real evidence has been tendered. A notice of opposition is a

shield, not a sword. For the court to make a finding on the simulation, there must be a counter-application. The first respondent cannot get a positive judgment but can only resist. To find that the agreement is a simulation would be to get relief that it has not sought.

[11] Counsel further argued that there is an averment that there was a termination of the agreement, but it has not attached any evidence to that effect. There is no basis for the first respondent to resist the application. In respect of the payment of CGT, what the seller cannot do is impose the liability for the payment of CGT on the purchaser. The parties may agree that the purchaser shall pay the CGT. He, therefore, moves for the application to be granted with costs on a legal practitioner and client scale.

[12] On the justification for costs on a higher scale, it was argued that the applicant seeks specific performance, and there is no basis to oppose the application where the first respondent has no real evidence. The applicant has been made to incur unnecessary costs. The opposition is *mala fide* and has not been seriously taken.

SUBMISSIONS FOR THE FIRST RESPONDENT

[13] Ms *Mahere*, on the other hand, submitted that there is no basis for the relief sought. From the record, the first respondent's position is that the agreement is a simulation. She stated that she stood by the submissions on record. Counsel further argued that two markers raise red flags. The first mark which the first respondent uses to support the disguised agreement is the undervalued property. It attached a valuation report which sets the property value at US$450 000. There is no way the property of this size can be sold for US$190 000. The probabilities favour the conclusion that a loan was given, and the parties expected it to be repaid. The applicant in para 5 of the answering affidavit does not dispute that the property was undervalued. The probability is that this is a simulation.

[14] Counsel further contended that the second marker is the clause which says that the CGT will be paid by the purchaser. It is the law that the CGT has to be paid by the seller. It is irregular when it sits next to the undervalued property. The simulation is to deprive the appropriate authority of the CGT. For these reasons, the agreement is a simulation. Counsel referred the court to the case of *W & D Consultants (Pvt) Ltd* v *Doran* HH 551/15, where the court was confronted with a simulated agreement and held that the

truth of the matter, rather than the writing, must be looked at. What ought to jump out is the undervaluation. It is a deception to the authorities. A simulation is easy to detect in the circumstances. There was never any true meeting of the minds, but the true form of the agreement was a loan.

[15] Ms *Mahere* also submitted that, even if the court finds the agreement competent, the applicant would not have satisfied the legal requirements for specific performance. To succeed in a claim for specific performance, the applicant must satisfy the court that there has been a serious breach of the agreement and that the other party has been placed in *mora*. She related to the provisions of clause 9.1 of the agreement. The argument thereto was that it was not pleaded that they gave seven days' notice to remedy the alleged breach, and that there was no compliance. Accordingly, in the alternative, specific performance cannot be availed to the applicant without compliance with clause 9. As regards costs, counsel argued that there is no justification for costs on a higher scale. There is no basis for departing from the general position. No *mala fide* was proved. The prayer was the application be dismissed with costs on the ordinary scale.

REPLYING SUBMISSIONS FOR THE APPLICANT

[16] Mr *Mutero*, in reply, submitted that the issue relating to clause 9 of the agreement was not pleaded. A party cannot plead one case and seek to prove another at the hearing. See *Medlog Zimbabwe (Pvt) Ltd* v *Cost Benefit Holdings (Pvt) Ltd* SC 24/18, para 25. Counsel further argued that para 9.1 is effectively dealing with a demand. It can be made either judicially by means of a court process or extrajudicially by means of a letter. See *Asharia* v *Patel & Ors* 1991 (2) ZLR 276 (S). The case was also cited in *Van Brooker* v *Mudhanda* SC 05/18. Clause 9 has been complied with on the papers before the court.

[17] Mr *Mutero* further argued that there was reference to what counsel says are red flags. The first one is the undervaluation. People sell properties for different reasons. For the reasons that we do not have evidence of the circumstances, it cannot be said that the value indicates simulation. The first respondent intends to rely on the doctrine of *laesio enormis*. It was outlawed by the General Laws Amendment Act [*Chapter 8:07*]. It cannot be argued that the agreement is not valid. The issue of value cannot be available to the first respondent.

[18] Counsel also contended that another issue is that the first respondent introduces things which are alien to the parties. In para 5 of the opposing affidavit, the first respondent now states that it was an accessory agreement, but under para 4, it says there is a verbal loan agreement. It cannot blow hot and cold. This is a classic display of *mala fides*. There was an argument that there is an attempt to deceive ZIMRA, but ZIMRA can call for a valuation. The value from the parties does not bind ZIMRA. In respect of costs, clause 9.2 of the agreement of sale provides for costs to be payable on a legal practitioner and client scale.

ISSUE FOR DETERMINATION

[19] The question to be determined is whether the applicant has satisfied the requirements for a decree of specific performance.

THE LAW

[20] The law is clear that an innocent party, in the event of a breach of contract, has the right to claim specific performance. The court, however, has a discretion to refuse or grant a decree of specific performance, but that discretion must not be exercised arbitrarily or capriciously. Each case must be considered in its own circumstances. In *Zimbabwe Power Company* v *Intratrek Zimbabwe* SC123/23 at p 45, CHIWESHE JA restated the law on the decree of specific performance in the following words:

> "The law on specific performance is well traversed. In the case of *Grandwell Holdings Pvt Ltd v Zimbabwe Mining Development Corporation & 3 Ors* SC 5/20, this Court remarked as follows:
>
> > 'However, the right to claim specific performance is predicated on the concept that the party claiming it must first show that he or she has performed all his or her obligations under the contract or is ready, willing and able to perform his side of the bargain. Even then, the court has a discretion, which should be exercised judicially, to grant or refuse a decree of specific performance. It follows, therefore, that the court's discretion should not be exercised arbitrarily or capriciously. See *Minister of Public Construction and National Housing v Zescon (Pvt) Ltd* 1989 (2) ZLR 311 (S), where at 318G, this Court stated:
> >
> > 'The law is clear. This is a remedy to which a party is entitled to as of right. It cannot be withheld arbitrarily or capriciously.'"
>
> In dealing with the question of specific performance, the court *a quo* was alive to the principles governing the grant or refusal of that relief. It correctly noted that each case

> must be determined according to its own circumstances and that the court must exercise its discretion judiciously, without appearing to be making a contract for the parties."

EXAMINATION

[21] The applicant seeks to enforce an agreement of sale signed by the parties on 17 November 2025. It was argued that the agreement is valid and extant. Accordingly, it is enforceable against the first respondent, the seller. The first respondent, on the other hand, argued that the agreement is a simulation and illegal; consequently, no court can enforce an illegal agreement. There is no dispute that the agreement of sale was signed on the stated date. The agreement was signed by Mr Mhute on behalf of the applicant in his capacity as a trustee, while Mr Mutanga represented the first respondent as a director. The evidence clearly shows that the applicant and the first respondent concluded a contract of sale. By their signatures thereto, the parties bound themselves to the terms of the agreement. The general rule is that a party to a contract is bound by his signature, regardless of whether he has read or understood the contract. This is commonly referred to as the *caveat subscriptor* rule. This principle was aptly restated in *Muchabaiwa* v *Grab Enterprises (Pvt) Ltd* 1996 (2) ZLR 691 (SC) in which KORSAH JA stated:

> "The general principle which applies to contracts, and commonly designated as *caveat subscriptor*, is that a party to the contract is bound by his signature, whether or not he has read or understood the contract, or the contract was signed with blank spaces later to be filled in. Expatiating on this principle in *National and Grindlays Bank v Yelverton* 1972 (1) RLR 365 (G) at 367; 1972 (4) SA 114 (R) at 116G-H, DAVIES J cited with approval, the following statement by INNES CJ in *Burger v Central South Africa Railways* 1903 TS 571 and 578 (decided before the promulgation of s 6 of the General Laws Amendment Act):
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> > 'It is a sound principle of law that a man, when he signs a contract, is taken to be bound by the ordinary meaning and effects of the words which appear over his signature."

See also *ZFC Ltd* v *Furusa* SC 15/18.

[22] The doctrines of sanctity of contract and freedom of contract form the backbone of our law of contract. It is part of public policy that courts must give effect to parties' agreements they voluntarily and freely enter into. This is grounded in the Roman-Dutch principle of *pacta sunt servanda* (agreements must be kept). The court thus cannot rewrite, alter or make a contract for the parties but must give effect to what they agreed.

The courts' role is, therefore, to interpret contracts and uphold the parties' intentions, provided always that their agreement meets all the essential elements of a valid contract. See *Ashanti Goldfields Zimbabwe Ltd* v *Mdala* SC 60/17. Thus, in *Magodora & Ors* v *CARE International Zimbabwe* (*supra*) at p 7, PATEL JA (as he then was) held that:

> "In principle, it is not open to the courts to rewrite a contract entered into between the parties or to excuse any of them from the consequences of the contract that they have freely and voluntarily accepted, even if they are shown to be onerous or oppressive. This is so as a matter of public policy. See *Wells* v *South African Alumenite Company* 1927 AD 69 at 73; Christie: *The Law of Contract in South Africa* (3rd ed.) at pp. 14-15. Nor is it generally permissible to read into the contract some implied or tacit term that is in direct conflict with its express terms. See *South African Mutual Aid Society* v *Cape Town Chamber of Commerce* 1962 (1) SA 598 (A) at 615D; *First National Bank of SA Ltd* v *Transvaal Rugby Union & Another* 1997 (3) SA 851 (W) at 864E-H." (*my emphasis*)

[23] In this matter, the evidence shows that the applicant and the first respondent entered into an agreement of sale of the property in question. That agreement was duly signed by their duly authorised representatives. There is no challenge to the signatures on the contract and the transfer documents as those of Mr *Mutanga* for the first respondent, nor was it alleged that he lacked authority to bind the company. Clause 3 of the agreement consists of an acknowledgement that the purchase price was paid in full at the time the agreement was executed. More importantly, there is an acknowledgement of receipt of the full purchase price signed by the conveyancers at p 23 of the record. This confirmation has not been challenged by the first respondent. In fact, no evidence was placed before me from the said conveyancers, who are by law the seller's agent in the transfer of the property. The same conveyancers prepared transfer papers which the parties' representatives duly signed. They all signed the declarations by the seller and the purchaser.

[24] Mr *Mutanga* also signed the special power of attorney at p 21 of the record, granting authority to the conveyancers to effect transfer of the property on behalf of the first respondent into the applicant's name. That special power of attorney is not specifically challenged. The process was aborted at the CGT application stage with ZIMRA. The screenshot at p 30 shows that the registration for CGT purposes was completed, and the

process was at the interview stage when the applicant alleges that the first respondent refused to proceed with the process.

[25] Clause 5 of the agreement of sale states that the purchaser shall be entitled to occupation upon signing the agreement, which was also the stage at which the full purchase price was paid. The full payment is not only acknowledged in clause 3 of the agreement, but was also duly acknowledged by the conveyancers on behalf of the seller. The evidence before me establishes that there is an agreement of sale which is in extant and valid.

[26] The first respondent was content to file only a notice of opposition. It did not file a counter-application. In my view, the first respondent's defence failed to rebut the applicant's case. The allegations challenging the validity of the agreement are bald and unsubstantiated. Having set out a defence of simulation, the first respondent had the *onus* to satisfy the court that it would be entitled to succeed on it. The general principle of the law is that he who makes an affirmative assertion, whether the applicant or respondent, bears the *onus* of proving the facts so asserted. See *Astra Paints Chemical* v *Chamburuka* SC 27/12; *Book* v *Davidson* 1988 (1) ZLR 365 at 384 B-F. In *Nyahondo* v *Hokonya & Ors* 1997 (2) ZLR 457 (S) at 459, KORSAH JA held that:

> "Where a person against whom a claim is made is not content with a mere denial but sets up a special defence or raises a fresh issue (when he confesses and avoids) then he is regarded in respect of that defence as being the claimant; for his defence to be upheld, he bears the *onus* of satisfying the court that he is entitled to succeed on it."

[27] It was the first respondent company which alleged that the agreement is a simulation. It, however, failed to place sufficient evidence to establish those allegations. The legal position on a simulated agreement was fully explained in *W & D Consultants (Pvt) Ltd* v *Doran* (*supra*) at pp 6-7, where DUBE J (as she then was) made the following pertinent remarks:

> "The transaction entered into is a simulated and dishonest transaction. The court is not deceived by its form but is concerned about its substance. It appears to me that this is a mere paper agreement. It cannot become a real agreement. In *Kilburn v Estate Kilburn 1931 AD 501,* the court held that

> '… a court of law will not be deceived by the form of a transaction; it will rend aside the veil in which the transaction is wrapped and examine its true nature and substance.'
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> In *Boots Company (Pvt) Ltd* v *Somerset West Municipality* 1990 (3) SA 216 (C) at 219, the court set out the law on simulated contracts as follows:
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> 'I take the law on this question from the case of *Skjelbreds Rederi A/S and Others v Hartless (Pvt) Ltd* 1982 (2) SA 710 (A) in particular, I cite the following passage from the (as he then was), reading from p 732:
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> 'The law relating to the question of simulated, or disguised, agreements is summed up in the well-known *Roamanism, plus valet quod I agituraquam quod simulate concipitur.* In Justiniaris Codex 4.22.1, the rule is briefly stated in the following terms: *In Contractibusrei veritas debet*, i.e. in contract the truth of the matter, rather than the writing, must be looked at.'
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> In *Zandberg* v *Van Zyl* 1910 AD 302, INNES JA dealt with this subject and held that in a simulated contract, parties enter into such a contract in order to secure some advantage which otherwise the law would not give or escape some disability which the law would otherwise impose. He says at 309 that such parties,
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> 'Endeavour to conceal its (transaction) real character. They call it by a name, give it a shape intended not to express but to disguise its nature and when a court is asked to decide any rights under such agreement. It can only do so by giving effect to what the transaction really is and not what it in form purports to be.'
>
> It is easy to detect this simulation. This is to be done by considering the facts leading up to the contract and the circumstances under which it was made." (*my emphasis*)

[28] To set out its defence, the first respondent alleged in para 4 that the agreement was entered into to secure the applicant's interests in respect of a verbal loan agreement for the principal sum of US$100 000. We are not told specifically who represented the parties in that verbal agreement, given that they are all legal entities. The pleading is silent, save to simply generalise and say it was a verbal agreement. In para 9, it is further stated that "it was only disguised to secure a loan advanced by the applicant to a lawyer friend of the first respondent's director." It is not disclosed who this lawyer friend is, nor who the alleged first respondent's director is. To make such vague averments and claim that they plead a proper case of a different real agreement is simply to insult the intelligence of the court. Those averments were surely not made seriously.

[29] In para 5 of the opposing affidavit, it is further alleged that the first respondent acted as a surety, but we are not told who the other parties to the loan agreement were, other than

the applicant. In the face of the written agreement of sale, the transfer documents signed by the parties, including the special power of attorney granting authority to the conveyancers to transfer the property arising from a *causa* stated as a sale, and the acknowledgement of receipt of the full purchase price, also signed by the conveyancers, the bald assertions by the first respondent cannot establish its purported or announced position. In the absence of real evidence to show a simulated contract, the court cannot doubt the agreement of sale well supported by real evidence.

[30] The first respondent further alleged in para 11 of its opposing affidavit that it cancelled the simulated agreement and tendered to repay the sum of US$100 000 in a letter delivered to the applicant on 30 December 2025. Again, nothing is attached as evidence of that communication. This lack of supporting evidence was exposed by the applicant in its answering affidavit. In the same paragraph, it is also alleged that "This was after much deliberation and consultation with its lawyers." There is no indication of exactly who these lawyers are. The first respondent also did not challenge the fact that Madanhe & Chigudugudze Legal Practitioners were the conveyancers in terms of the agreement. They also signed an acknowledgement of receipt of the full purchase price on behalf of the first respondent. This acknowledgement was attached to the founding affidavit. The respondent did not bother to enlist the said conveyancers' comments on that document or the transfer documents to rebut the applicant's case.

[31] In para 4.7, the applicant averred that it was the conveyancers who initiated the ZIMRA process, and all the first respondent could do was to claim that this was fraudulent and that a report of fraud is to be opened against the applicant. Yet the allegation is that it is the conveyancers themselves who did the needful to ensure the interviews were conducted. The first respondent did not challenge the process undertaken by the conveyancers but rather directed the fight only to the applicant. Without challenging the conveyancers' authority under the special power of attorney, the first respondent's case cannot succeed. The first respondent's defence is entirely a contrived one and utterly unbelievable. It was ill-advised for it to say that the applicant had to place the conveyancers' affidavit before the court. The applicant had no *onus* to prove a simulation. It was the first respondent who asserted that the agreement was not, in reality,

a sale and who ought to have established that with evidence. The conveyancers were its agents in the transaction, and it was incumbent upon the first respondent to disown the agent and the law firm's conduct. It did not do so. The conveyancers' mandate was also never revoked. Where the authority granted to effect transfer is still extant, it cannot, in my view, be seriously argued that the sale was a simulated agreement. Litigants must surely respect court proceedings.

[32] It is trite that bald and unsubstantiated assertions cannot establish a party's purported or announced position. See *Dube* v *Murehwa & Anor* SC 68/21. The same position was restated in *Chinyenze* v *Law Society of Zimbabwe* SC 08/22 in para 39, where the court held that:

> "It is trite that courts, and indeed the Tribunal, decide matters on the basis of evidence that is placed before them and not on the mere say so of a litigant. Every averment made must be substantiated by evidence in order for the court to place any weight on it. Bald assertions will not assist a litigant who desires to establish his case." (*my emphasis*)

Given the above and the failure to plead facts leading up to the 'simulated' contract and the circumstances under which it was made, the mere production of a valuation report and reference to clause 4 on payment of the CGT cannot assist the first respondent at all. No simulation can be detected. The valuation report cannot be accepted as a red flag in a vacuum. I agree with Mr *Mutero* that the full circumstances of any transaction ought to be disclosed so that a court can properly assess whether the sale was indeed a simulation. It does not automatically follow that, where the price is low, or the property was undervalued, there is simulation. This is so because the law recognises that parties are free to enter into a contract of sale at any agreed price, notwithstanding the property's exact market value. After all, a valuation report is merely an opinion. The reasons why the seller would be selling his property must also be taken into account.

[33] In the absence of any evidence clearly showing the existence of a loan between clear parties, instead of a sale, the valuation report would, therefore, be insufficient to establish the first respondent's case or defence. In any case, a sale is not merely void or voidable because the property was sold at a price alleged to be less than half its market value. The related doctrine of *laesio enormis*, which entitled a party to have a contract declared void

or voidable merely because a party was prejudiced by a bag bargain, that is, selling for less than half the value or buying for more than double, is not part of our law. Thus s 8 of the General Laws Amendment Act clearly states as follows:

> "8. **Law of *laesio enormis* repealed**
>
> No contract shall be void or voidable by reason merely of *laesio enormis* sustained by either of the parties to the contract."

[34] It cannot be seriously argued that there is no way the property can be sold at US$190 000 merely on the basis of the opinion rendered to Mutanga. See p 44 of the record. The full circumstances of the sale, including the reasons for the sale, were not disclosed. The full details of the parties to the loan agreement and the alleged suretyship were not disclosed. There is no evidence as to who the lawyer friend is, and the conveyancers' involvement in the transaction has not been dispelled or specifically controverted. Since their mandate still stands, nothing should, therefore, turn on the said valuation.

[35] The other point argued is that clause 5 of the agreement is another pointer to a simulation. As stated above, this cannot stand in the absence of facts leading up to the alleged simulated agreement and the circumstances under which it was entered into. There is no evidence of any deception regarding the value. Indeed, s 6 of the Capital Gains Tax Act [*Chapter 23:01*] imposes CGT liability on capital gains. It is due from the person who disposes of a specified asset, including in cases where it is deemed to have accrued. It is not illegal for the parties to agree that the purchaser will pay such tax on the seller's behalf. The liability cannot be imposed on the purchaser, but can be freely and voluntarily assumed in terms of the parties' agreement. The Act does not outlaw such an agreement by the parties. The liability will simply be discharged on the seller's behalf. The pleadings are silent as to why the parties in this case agreed to this arrangement. Nothing, therefore, is before the court to assist it in detecting that the agreement is a simulation.

[36] Further, in any case, ZIMRA is not bound by any transaction value disclosed by the parties, as it may either accept it if it falls within its valuation bands for such a property in the locality, or cause an evaluation to be carried out before any assessment is done. The

allegation that there was a deception or that the parties intended to deceive the tax authority by agreeing on a value of US$190 000 is bald and unsubstantiated. The court cannot be swayed. There is nothing before me to support a finding that the true nature of the transaction was masked or that the agreement is a simulation. The first respondent's defence cannot succeed.

[37] In what I would consider to be merely grasping at straws, Ms *Mahere* belatedly attempted to plead a new case for the first respondent at the hearing. She has now turned to clause 9.1 of the agreement. It is settled law that a party's case is not made in oral submissions. Written or oral submissions are not pleadings. See *Van Brooker* v *Mudhanda & Anor* (supra) at p 17, where it was held that the "purpose of heads of argument is to expound on the law applicable to the facts placed before the court, and one cannot plead through written submissions". Equally, one cannot plead through oral submissions. The respondent's case stands or falls on the averments made in the opposing affidavit. This was affirmed in *Jonkershoek Trading (Pvt) Ltd* v *Mpofu* HB 17/23, where the court said:

> "It is a trite principle of our law that a litigant must lay out or plead a basis for the opposition in the opposing affidavit. As the application stands or falls on the founding affidavit and the facts alleged in it, the opposition stands or falls on the opposing affidavit and the facts alleged in it. See: *Chiangwa And 7 Others v AFM in Zimbabwe And 7 Others* SC 67 of 2021; *Austerlands (Pvt) Ltd & Ors v The Sheriff of Zimbabwe & Ors* 2006 (1) ZLR 372 (S)."

[38] The law is also clear that a party cannot plead one case and seek to canvass another at the hearing. The principle of law is that a party is bound by his pleadings and, unless amended, he will stand or fall by them. The same pleadings bind a court and define the issues the court must determine. See *Medlog Zimbabwe* (*supra*) in para(s) 25-26, where GARWE JA (as he then was) had this to say:

> "In general, the purpose of pleadings is to clarify the issues between the parties that require determination by a court of law. Various decisions of the courts in this country and elsewhere have stressed this important principle.
>
> …
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> 25.3 In *Kali* v *Incorporated General Insurance Ltd* 1976 (2) SA 179 (D) at 182, the court remarked:

> 'The purpose of pleading is to clarify the issues between the parties and a pleader cannot be allowed to direct the attention of the other party to one issue and then, at the trial, attempt to canvass another."

25.4 In *Courtney–Clarke* v *Bassingthwaighte* 1991 (1) SA 684 (Nm), the court remarked at page 698:-

> 'In any case, there is no precedent or principle allowing a court to give judgment in favour of a party on a cause of action never pleaded, alternatively, there is no authority for ignoring the pleadings … and giving judgment in favour of a plaintiff on a cause of action never pleaded. In such a case, the least a party can do if he requires a substitution of or amendment of his cause of action, is to apply for an amendment.'

25.5 In *Imprefed (Pty) Ltd* v *National Transport Commission* 1993 (3) SA 94(A), 108, the court cited with approval the case of *Robinson v Randfontein Estates GM Co. Ltd* 1925 AD 173, where at page 198 it was stated as follows:-

> 'The object of pleading is to define the issues, and parties will be kept strictly to their pleas where any departure would cause prejudice or would prevent full enquiry. But within those limits, the court has a wide discretion. For pleadings are made for the court, not the court for pleadings. And where a party has had every facility to place all the facts before the trial court and the investigation into all the circumstances has been as thorough and as patient as in this instance, there is no justification for interference by an appellate tribunal, merely because the pleading of the opponent has not been as explicit as it might have been.'

25.6 In *Jowell* v *Bramwell-Jones* 1998 (1) SA 836 at 898, the court cited with approval the following remarks by the authors Jacob and Goldrein in their text *Pleadings: Principles and Practice* at p 8-9:

> 'As the parties are adversaries, it is left to each of them to formulate his case in his own way, subject to the basic rules of pleadings … For the sake of certainty and finality, each party is bound by his own pleading and cannot be allowed to raise a different or fresh case without due amendment properly made. Each party thus knows the case he has to meet and cannot be taken by surprise at the trial. The court itself is as much bound by the pleadings of the parties as they are themselves. It is not part of the duty or function of the court to enter upon any enquiry into the case before it other than to adjudicate upon the specific matters in dispute which the parties themselves have raised by their pleadings. Indeed, the court would be acting contrary to its own character and nature if it were to pronounce upon any claim or defence not made by the parties. To do so would be to enter the realm of speculation. … Moreover, in such event, the parties themselves, or at any rate one of them, might well feel aggrieved; for a decision given on a claim or defence not made, or raised by or against a party is equivalent to not hearing him at all and may thus be a denial of justice. The court does not provide its own terms of reference or conduct its own inquiry into the merits of the case but accepts and acts upon the terms of reference which the parties have chosen and specified in their pleadings. In the adversary system of litigation, therefore, it is the parties themselves who set the agenda for the trial by their pleadings and neither party can complain if the agenda is strictly adhered to.'

> 25.9 In a paper: *A Judge's View Point*, the *Role of Pleadings* presented by Justices Rares of the Federal Court of Australia and Richard White of the Supreme Court of New South Wales at a judge's symposium, the learned judges remarked:
>
> > 'Precise formulation of the applicant's rights in the initiating document is of central importance. This is because the pleading is the source from which many other consequences flow in the life of the litigation from filing at first instance through to final resolution in the High Court. The pleading will be used as the reference point for …the calling of evidence, the relevance and admissibility of evidence, the closing arguments, the reasons for judgments and the availability of arguments on appeal. At all of these points, the following questions arise: "Was this issue pleaded?" and "How was this issue pleaded?" The question is not the loose one whether the argument could possibly be raised on the evidence at the conclusion of a hearing but whether the issue has been pleaded …"
>
> [26] I associate myself entirely with the above remarks made by eminent jurists both in this jurisdiction and internationally. The position is therefore settled that pleadings serve the important purpose of clarifying or isolating the triable issues that separate the two litigants. It is on those issues that a defendant prepares for trial and that a court is called upon to make a determination. Therefore, a party who pays little regard to its pleadings may well find itself in the difficult position of not being able to prove its stated cause of action against an opponent." (*my emphasis*)

[39] In this case, although there appear to be some missing paragraphs after para 4.8 of the founding affidavit, the applicant pleaded that it made a demand for the transfer and that the first respondent refused or failed to perform its contractual obligations. In para 4.7, it is stated as follows:

> "4.7 The Conveyancers have invited myself and the 1st Respondent's Representative to attend at Zimra for interviews after they had done the needful at Zimra. Marked "I" is an invitation to attend interviews from Zimra. However, this has not been possible as the 1st Respondent's representative has failed to accede to such invitations. Despite demand, the Respondent's nominated representative has failed, neglected and or refused to either physically attend to ZIMRA for the CGT interviews for and on behalf of the Respondent as Seller. I on behalf of the Applicant have made several follow ups for the transfer and have been advised that the Respondent's representative is out of the country. I have also attended at Zimra requesting to be interviewed however, I have been advised by Zimra officers that the Respondent is the most paramount party to off kick the process for tax assessment. The process can therefore be done in the absence of the 1st Respondent. I have sought to be guided on the representative's expected date of return to the jurisdiction and have been advised that not been given a clear expected date of return for the representative which has forced me, on behalf of the Applicant to approach this Honourable Court." (*my emphasis*)

[40] In its opposing affidavit, the first respondent decided to simply deal with the whole para 4 and pleaded as follows:

> "**Ad para 4**
>
> 6. Whilst this paragraph is admitted because it contains what was written in the disputed agreement, the proper intention of the agreement was to simply disguise its true nature. The agreement was never meant to transfer rights in the property. This can also be shown by the very low value placed on the property, which is way too low for the market value of the property. I attach the valuation report of the property marked B.
>
> 7. I further wish to demonstrate that this was not the transaction which intended to pass the rights to the Applicant, as it can be shown by paragraph 4 of the simulated contract. It says the purchaser shall pay capital gains, which is a known position that the one gaining would be responsible for payment of capital gains. This only means one thing: this contract was a disguised contract.
>
> 8. The allegations that the Managing Director of the 1st Respondent was not reachable fall under its own weight as there is no attached evidence showing the allegation.
>
> 9. The reason why the 1st Respondent has not yet tendered transfer is that the transaction was never intended to completely pass transfer to the Applicant, as it was only disguised to secure the loan advanced by the Applicant to a lawyer friend of the 1st Respondent's director." (*my emphasis*)

Clearly, from the first respondent's pleading, being the opposing affidavit, the first respondent did not raise any issue concerning non-compliance with clause 9.1. There is nothing entirely in its papers where it is pleaded that it was not placed *in mora*, nor that a written demand was not served upon it to rectify the breach in terms of clause 9.1. The clause was not engaged, nor was there a challenge to the validity of the demand alluded to by the applicant in para 4.7.

[41] The new argument raised by Ms *Mahere* required facts to be pleaded to support it. The applicant alluded to a demand in para 4.7. That was not met by a clear pleading alleging that the first respondent was not served with any notice or demand as required by clause 9.1. There was no mention of that clause. To seek to raise this in oral submissions in the absence of any facts pleaded supporting that argument would be improper. It is tantamount to pleading a case in oral submissions. I, therefore, agree with Mr *Mutero* that the issue was not pleaded and, accordingly, was not properly raised. Nothing should turn

on it. In any case, the pleadings do not support that there is an issue concerning compliance with clause 9.1 of the agreement, which requires a judicial determination.

[42] I am satisfied that it has been well established that the applicant fully performed its contractual obligations arising from a valid and extant agreement of sale. It paid the agreed purchase price in full, as shown by clause 3 of the agreement and the acknowledgement of receipt by the conveyancers. The essential elements of a valid contract of sale are met. There was an agreement between the parties as to the thing sold (the *merx*), the property in question, and the price of the thing sold (the *pretium*), the sum of US$190 000. See *Ashanti Goldfields Zimbabwe Ltd* v *Mdala* (*supra*) at p 8. There is no evidence that the agreement of sale is a simulated contract. The allegation that the agreement is illegal was also not established.

[43] It is also clear that the first respondent breached the agreement of sale by failing or refusing to effect transfer of the property and allow the applicant to take occupation thereof. The first respondent has taken a position, albeit without any legal basis, that it cannot transfer the property because there was no valid sale. The first respondent's refusal to perform its contractual obligations is *mala fide* as it is founded on a contrived case of simulation. The position it took, as alluded to above, is completely without any factual and legal basis. The applicant has a right to specific performance: *Zimbabwe Power Company* v *Intratek Zimbabwe* (*supra*). The court ought to enforce what parties have voluntarily assumed to be their contractual obligations. There is no reason for the court not to exercise its discretion in favour of granting this application, as it cannot be said that specific performance is no longer possible. The application ought to succeed.

THE QUESTION OF COSTS

[44] It is a settled principle of the law that the award of costs is within the discretion of the court. Generally, where the parties' agreement stipulates that legal costs shall be recovered on any scale agreed by them, the court will enforce the contractual stipulation. The parties to a contract are, therefore, generally bound by their agreement. This is a principle of public policy confirmed also in a long line of cases, *inter alia*, *Book* v *Davidson* (*supra*): *Magodora & Ors* v *CARE International Zimbabwe* (*supra*). If the contract clearly states that in the event of a breach, the defaulting party will pay the costs

on a legal practitioner and client scale, the court will typically enforce this provision. The court will depart from the contract only if enforcement would be manifestly unjust or contrary to public policy.

[45] The question of costs is resolved by considering clause 9.2 of the agreement of sale between the parties. It reads as follows:

> "In the event of any legal proceedings being instituted against any party by reason of such party being in default, such breaching party shall pay all legal costs, on a legal practitioner and client scale, incurred by the aggrieved party in the event of such proceedings being successful against the aggrieved party."

The current proceedings fall within what the parties intended to be covered by clause 9.1. The agreement must be enforced. There is no justification for the court not to enforce the parties' agreement and respect their intentions. In any case, in my view, the defence was *mala fide* and not seriously taken. I have no doubt that the notice of opposition is a clear abuse of the court process. I accept that costs on a legal practitioner and client scale are warranted in the circumstances, as it is also what the parties agreed on.

DISPOSITION

[46] The applicant has satisfied the requirements for the decree of specific performance. I am satisfied that the relief sought ought to be granted. The evidence before me clearly establishes that there is a valid agreement of sale of the property in question. That agreement is extant. The purported simulation defence was based on bald and unsubstantiated assertions. The first respondent did not fully disclose the facts regarding the alleged verbal loan transaction and the accessory suretyship agreement. To simply say the agreement of sale "was only disguised to secure the loan advanced by the applicant to a lawyer friend of the first respondent's director" was surely not to take the court process seriously. The authority it gave to the conveyancers to effect transfer of the property has not been revoked or set aside by an order of a competent court. The opposition was clearly one taken to harass the applicant. It was not filed with the genuine intention of pursuing justice at all. The court must hold parties to the consequences of the contracts they have freely entered into. That is what public policy dictates.

[47] In the result, it is ordered that:

1. The first respondent shall sign all necessary documents, appear before such authorities such as the Zimbabwe Revenue Authority and take all necessary steps for the purposes of transferring ownership of a certain piece of land situate in the in the District of Salisbury called Stand 49 Gurlyn Barton Township of Gurlyn Barton A measuring 6 921 square metres held under Deed of Transfer 3647/2012 to the Applicant within seven (7) days of this order failing which the Sheriff for Zimbabwe or his lawful deputy be and is hereby authorised to take all such steps and to sign all such documents as may be necessary on behalf of the first respondent.

2. The first respondent and all those claiming occupation through it shall vacate the property described in paragraph (1) above, within seven (7) days from the date of this order, failing which the Sheriff for Zimbabwe or his lawful deputy be and is hereby authorised to evict the first respondent and all those claiming occupation through it therefrom.

3. The first respondent shall pay the applicant's costs of suit on a legal practitioner and client scale.

DEMBURE J: ……..

Kufaruwenga, Kajevu & Zihanzu, applicant's legal practitioners
T I Ndhlovu & Partners, first respondent's legal practitioners